

Downside Scenario: EM Vulnerabilities to a Sustained Geopolitical Shock

International Commentary

Economist(s)



[Brendan McKenna](#)

- Our base case scenario for Middle East events is still for a short-lived disruption to the global economy and financial markets ([Wells Fargo - The Conflict with Iran: FAQ with the Team](#)). But the downside scenario of a prolonged rise in geopolitical uncertainty and sustained markets volatility is increasingly more likely and needs to be evaluated. We assess this elevated geopolitical uncertainty shock scenario for emerging market economies and financial markets through a vulnerability lens.
- Most EMs have reduced vulnerabilities to a sudden stop in capital flows, especially the systemically important countries (e.g., China and India). However, in the event of a sudden stop, countries reliant on external financing with adverse sovereign debt profiles and inadequate FX reserves are most vulnerable. Those with elevated vulnerabilities can experience balance of payments crises, sharp economic slowdowns, or worse, sovereign default. Argentina and Turkey flag as most vulnerable, while Brazil and Mexico have only moderate vulnerability to a stop in capital flows.
- A sustained geopolitical shock can be another test to the resilience of EM FX. Over the last few days, EM FX has come under broad pressure, but market participants may show a renewed focus on fundamentals and valuations in a shock. Currencies associated with weak fundamentals and expensive valuations can see a sharp reversal (e.g., COP, MXN and ZAR). Countries associated with stronger FX fundamentals and more attractive valuations (e.g., TWD and KRW) can be more protected. At the same time, keep an eye on our framework's "max selloff" levels for whether a currency has become too misaligned or is detached from underlying FX fundamentals. "Buying" or "hedging" opportunities may become available should those levels be breached.
- A combined FX and inflation shock via elevated oil prices limits EM central banks' ability to cut policy rates further. Select central banks may still be able to cut as real interest rates are elevated and the shock hits less acutely (e.g., Brazil, albeit with less space). Others could see easing cycles end early as inflationary pressure builds from higher oil prices and FX pass-through, complicating already existing inflation pressures (e.g., Banxico). A few could restart tightening cycles even if growth prospects are damaged, as financial stability and containing inflation expectations becomes paramount (e.g., Reserve Bank of India).
- Should an affordability shock ensue from markets volatility and/or higher non-discretionary expenditures governments may be limited in their ability to respond via fiscal support. Public finance positions are already weak across EM, except for a select few. For certain governments, rising oil prices can generate increased revenues, boost growth prospects and offer new space to offset affordability issues. Administrations will need to weigh that dynamic against already wide fiscal deficits and large debt burdens (e.g., Colombia). But should governments without fiscal headroom ignore public finance limitations sovereign bond markets may turn volatile, and financing issues could follow.

A sustained Middle East geopolitical shock could spark a “sudden stop” of capital flows into EM

Emerging markets have attracted capital inflows over the last 12-18 months, but should investor sentiment shift away from EM, economies reliant on external financing could experience crisis conditions. Argentina and Turkey are highly vulnerable, China and India are less sensitive, although most EMs have sources of vulnerability to a sudden stop scenario

	Overall EM Sudden Stop Vulnerability	Current Account Balance (% of GDP)	FX Reserve Adequacy (% of ST Debt)	Foreign Part. in LCY Debt (% of LCY Debt)	FX Denominated Debt (% of Gov't Debt)	FX Regime (Free, Managed Float or Crawl)
Argentina	Red	Yellow	Red	Red	Red	Red
Turkey	Red	Yellow	Red	Green	Red	Red
Indonesia	Yellow	Yellow	Red	Yellow	Red	Yellow
Colombia	Yellow	Red	Yellow	Yellow	Red	Green
Chile	Yellow	Yellow	Red	Yellow	Red	Green
Poland	Yellow	Yellow	Red	Yellow	Red	Green
Hungary	Yellow	Green	Red	Yellow	Red	Green
Peru	Yellow	Green	Green	Red	Red	Yellow
Philippines	Yellow	Red	Green	Green	Red	Yellow
South Africa	Yellow	Yellow	Yellow	Red	Green	Green
South Korea	Yellow	Yellow	Green	Red	Yellow	Yellow
Mexico	Yellow	Yellow	Green	Yellow	Yellow	Green
Brazil	Yellow	Yellow	Yellow	Yellow	Green	Green
India	Green	Yellow	Green	Green	Green	Yellow
Israel	Green	Green	Green	Green	Yellow	Yellow
Russia	Green	Green	Green	Green	Green	Red
Taiwan	Green	Green	Green	Green	Green	Red
China	Green	Green	Green	Green	Green	Red
Thailand	Green	Green	Green	Green	Green	Green

¹ Red indicates "High vulnerability"; Orange indicates "Moderate vulnerability"; Green indicates "Little vulnerability"

Source: IMF, IIF Wells Fargo Economics

A shock can test the resilience of EM FX. Which currencies are vulnerable and which can be more protected?

Markets are likely to focus on relative fundamentals and valuations in a downside shock. Underlying FX fundamentals are most fragile in Argentina, Colombia and Turkey, but strongest in Peru, Taiwan and China. COP, CLP, MXN, ZAR, IDR, BRL and ILS screen as overvalued, while TWD and KRW valuations appear more attractive

	Current Exchange Rate (Level vs. USD)	Max FX Depreciation (Level vs. USD)	Unrealized Max FX Depreciation (% vs. USD)	Q1'2026 FX Vulnerability ^{1 2}	Current Account Balance (% of GDP)	Real Int. Rate Diff. With U.S. (%)	Import Cover (Months)	Political Risk Indicator
Argentina	1,411	1,524	(6.4%)	Red	Yellow	Red	Yellow	Red
Colombia	3,790	4,239	(10.1%)	Yellow	Red	Green	Yellow	Red
Turkey	43.98	46.80	(5.5%)	Yellow	Yellow	Yellow	Red	Yellow
Chile	909.50	1,003	(8.7%)	Yellow	Green	Yellow	Red	Yellow
Hungary	336.66	371.08	(8.7%)	Yellow	Yellow	Yellow	Red	Yellow
Mexico	17.72	20.15	(11.6%)	Yellow	Yellow	Yellow	Red	Yellow
South Africa	16.54	18.52	(10.1%)	Yellow	Yellow	Yellow	Red	Yellow
Indonesia	16,872	18,953	(10.5%)	Yellow	Yellow	Yellow	Red	Yellow
South Korea	1,488	1,596	(6.1%)	Yellow	Red	Yellow	Red	Yellow
Philippines	58.43	66.17	(11.3%)	Yellow	Red	Yellow	Yellow	Yellow
Poland	3.71	4.10	(9.0%)	Yellow	Yellow	Yellow	Red	Green
Thailand	31.45	36.39	(13.4%)	Yellow	Green	Red	Red	Green
India	91.48	100.38	(8.3%)	Yellow	Yellow	Red	Yellow	Green
Brazil	5.29	6.03	(11.9%)	Yellow	Green	Green	Green	Red
Israel	3.10	3.61	(14.1%)	Yellow	Green	Yellow	Green	Red
Peru	3.40	3.72	(8.3%)	Green	Green	Yellow	Green	Yellow
Taiwan	31.63	32.02	(1.1%)	Green	Green	Red	Green	Green
China	6.92	7.61	(9.0%)	Green	Green	Yellow	Green	Yellow

FX Vulnerability as of 3/3/2026

¹ Red indicates "High vulnerability", Orange indicates "Moderate vulnerability", Green indicates "Low vulnerability"

² "High vulnerability" represents maximum peak-to-trough 20% depreciation, "Moderate vulnerability" represents maximum peak-to-trough 15% depreciation, "Low vulnerability" represents maximum peak-to-trough 10% depreciation

Source: IMF, Bloomberg Finance L.P. and Wells Fargo Economics

Should the downside scenario for FX depreciation and an inflation shock via higher oil prices materialize, all EM central banks (ex-PBoC) would lose space to ease monetary policy. A select few may have room for easing (e.g., Brazilian Central Bank), others would likely end the easing cycle (e.g., Banxico), while certain institutions may shift to rate hikes (e.g., Reserve Bank of India)

	Pre-Iran 2026 Monetary Policy Space	2026 Monetary Policy Space ^{1 2}	Real Int. Rate Diff. With Fed (%)	Inflation From CB Target (%)	Economic Growth Momentum	FX Performance vs. USD (Last 3 months)
Hungary						
Thailand						
Poland						
Israel						
Chile						
Brazil						
China ³						
South Africa						
Philippines						
Mexico						
Turkey						
Colombia						
India						
South Korea						
Indonesia						
Peru						
Argentina						

¹ Green indicates "Adequate Monetary Policy Space", Orange indicates "Limited Monetary Policy Space", Red indicates "No Monetary Policy Space"

² Adequate Monetary Policy Space represents scope for >50 bps of rate cuts, Limited Monetary Policy Space represents scope for 25-50 bps of rate cuts, No Monetary Policy Space represents scope for 0 rate cuts

³ People's Bank of China 7 Day Reverse Repurchase Rate

Source: Bloomberg Finance L.P. and Wells Fargo Economics

Governments may need to offset affordability hits, but can they offer fiscal support without bond market volatility?

Administrations have floated the idea of financial support should affordability issues become apparent. But only a few have fiscal policy space to deliver (e.g., Chile and Peru). Those without fiscal headroom (e.g., Brazil, South Africa and Colombia) risk instability and economic downturns, or if resources are deployed anyway, local bond markets could turn volatile

Country	2026 Fiscal Policy Space ¹	Primary Balance (% of GDP)	Interest Expense (% of GDP)	Bond Maturities* (% of GDP)	Gross Gov't Debt (% of GDP)	Auto. Debt Dynamics (Rates-Growth)
Chile						
Peru						
Russia						
Czech Republic						
Turkey						
Indonesia						
Korea						
Philippines						
Thailand						
Argentina						
Poland						
Mexico						
China						
Israel						
Hungary						
India						
Colombia						
South Africa						
Brazil						

¹ Green indicates "Adequate Fiscal Policy Space", Orange indicates "Limited Fiscal Policy Space", Red indicates "No Fiscal Policy Space"

* Wells Fargo Estimate

Source: IMF, Bloomberg Finance L.P. and Wells Fargo Economics

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Changing the Game: International Implications of Recent Tariff Developments

International Commentary

Economist(s)



[Aroop Chatterjee](#)

Summary

- The Supreme Court ruling on International Emergency Economic Powers Act (IEEPA) tariffs provides **limited relief** for the rest of the world, with weighted average tariff rates modestly lower. This is consistent with our baseline view of **steady (but uncertain) global growth**, rather than a material downside shock.
- The binding constraint now comes from **Section 122's flat surcharge** (10% as implemented, with 15% still under consideration), applied **uniformly across countries**.
- This results in **clear relative winners and losers** versus the pre-Supreme Court ruling landscape. Under a 15% Section 122 regime, tariff rates fall the most for China, India, Brazil and South Africa, while they rise for the UK, EU, Australia and Japan.
- The ruling also creates an **unprecedented legal vacuum** for the 19 countries that struck trade deals with the US in recent months. Deal rates lack an enforceable legal mechanism, having been implemented exclusively through IEEPA authority.
- In practice, this sets up a **classic prisoner's dilemma**. While countries could challenge or renege, fear of retaliation via Section 301/232 investigations alongside non-trade leverage in defense, technology and diplomacy, will likely deter overt confrontation. Slow-walking of commitments appears more likely than outright withdrawal. Section 338 tariffs remain a wild card, though the legal bar for deployment appears high. On net, **trade deal momentum with the US is likely to slow materially in 2026**.

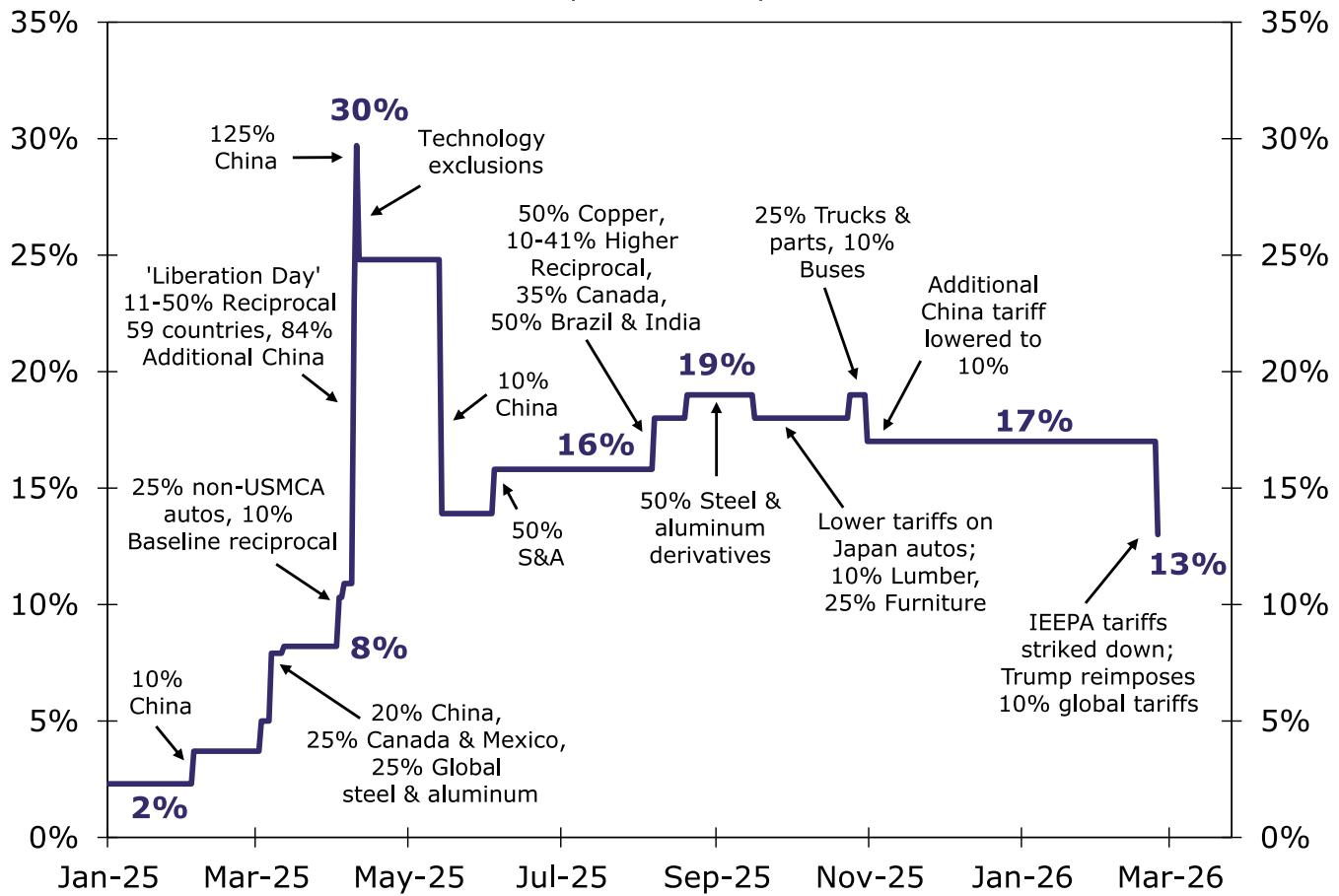
Key takeaways

- The U.S. weighted average tariffs rate declined to **13% from 17%** following the Supreme Court's February 20 ruling striking down IEEPA tariffs and the administration's imposition of **10% Section 122 tariffs** on February 24 ([Figure 1](#)). If the proposed 15% Section 122 surcharge is finalized, weighted average tariffs would rise to around **15%**, still modestly below prior levels. This limited relief supports our view of **steady global growth amid elevated policy uncertainty and rising idiosyncratic risks** (see [International Economic Outlook: February 2026](#)).
- Section 122 of the Trade Act of 1974, now serving as the interim replacement, has a **critical structural limitation**: it must be applied on a **non-discriminatory basis**. While it authorizes a temporary import surcharge to address balance-of-payments concerns, it does not allow country-specific differentiation. As a result, the administration cannot legally impose a 10% rate on one country and 15% on another under Section 122 alone. For now, U.S. Customs and Border Protection (CBP) has implemented the original **10% rate**, while the administration works toward finalizing the increase to 15%. The surcharge stacks on top of Most Favored Nation (MFN) duties and existing section 301 tariffs, while fully replacing IEEPA-based rates.

Figure 1

Estimated U.S. Average Effective Tariff Rate

Since Start of 2025 by Date of Implementation; Percent



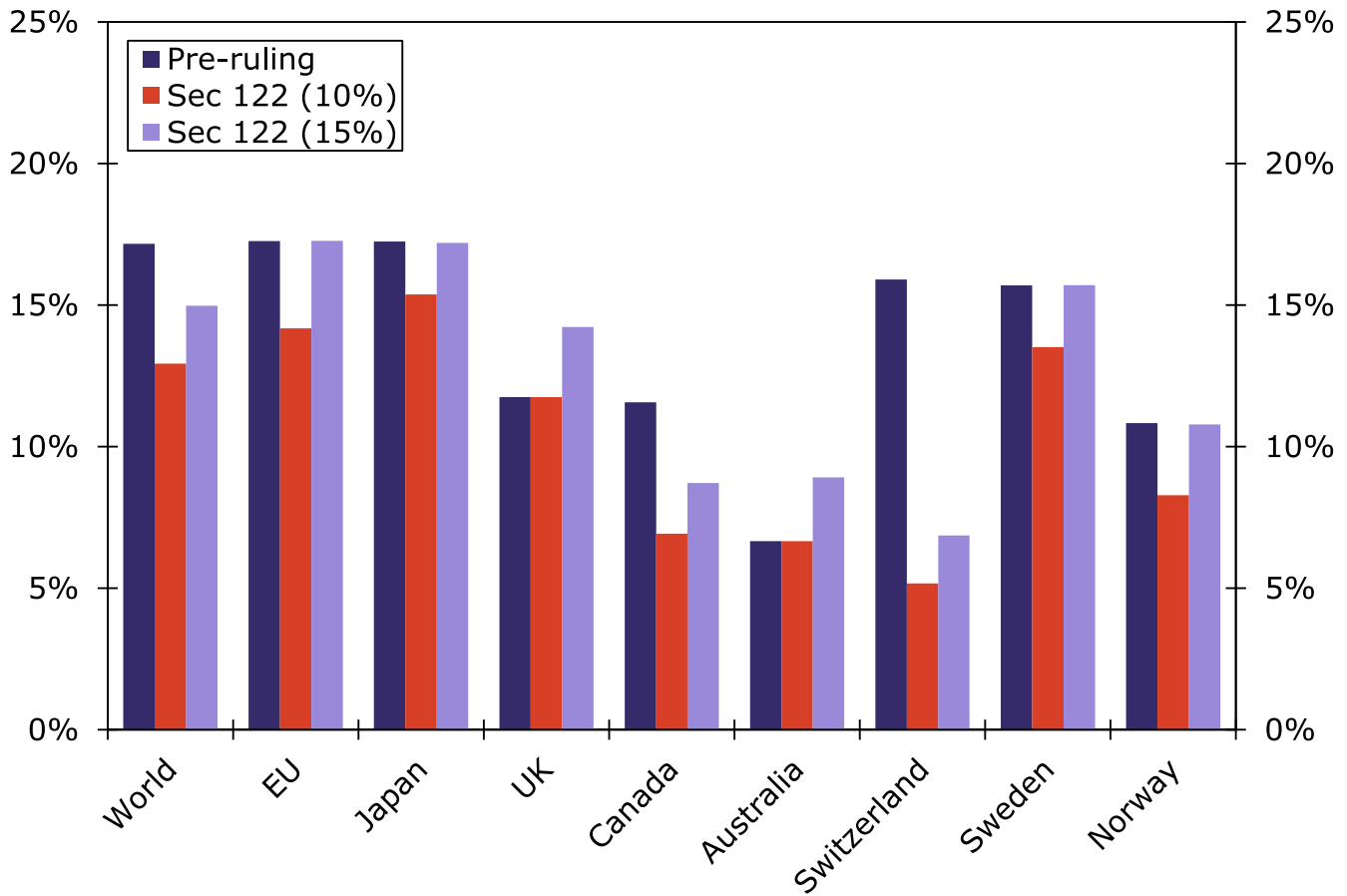
Source: U.S. Department of Commerce and Wells Fargo Economics

- This produces **meaningful cross-country dispersion** relative to prior tariff levels. [Figure 2](#) and [Figure 3](#) compare current and planned statutory tariffs with those prevailing pre-ruling for major advanced and emerging economies, applying existing exemptions and (unstacked) sector specific tariffs. Under a 10% Section 122 regime, tariff rates decline for most trading partners with the United Kingdom and Australia as notable exceptions with unchanged rates. Under a 15% regime, tariff relief is largest for China, India, Brazil and South Africa versus pre-ruling levels, while tariff burdens rise for the UK, Australia, EU and Japan.

Figure 2

Advanced Economies Statutory Tariff Rates

Weighted Average

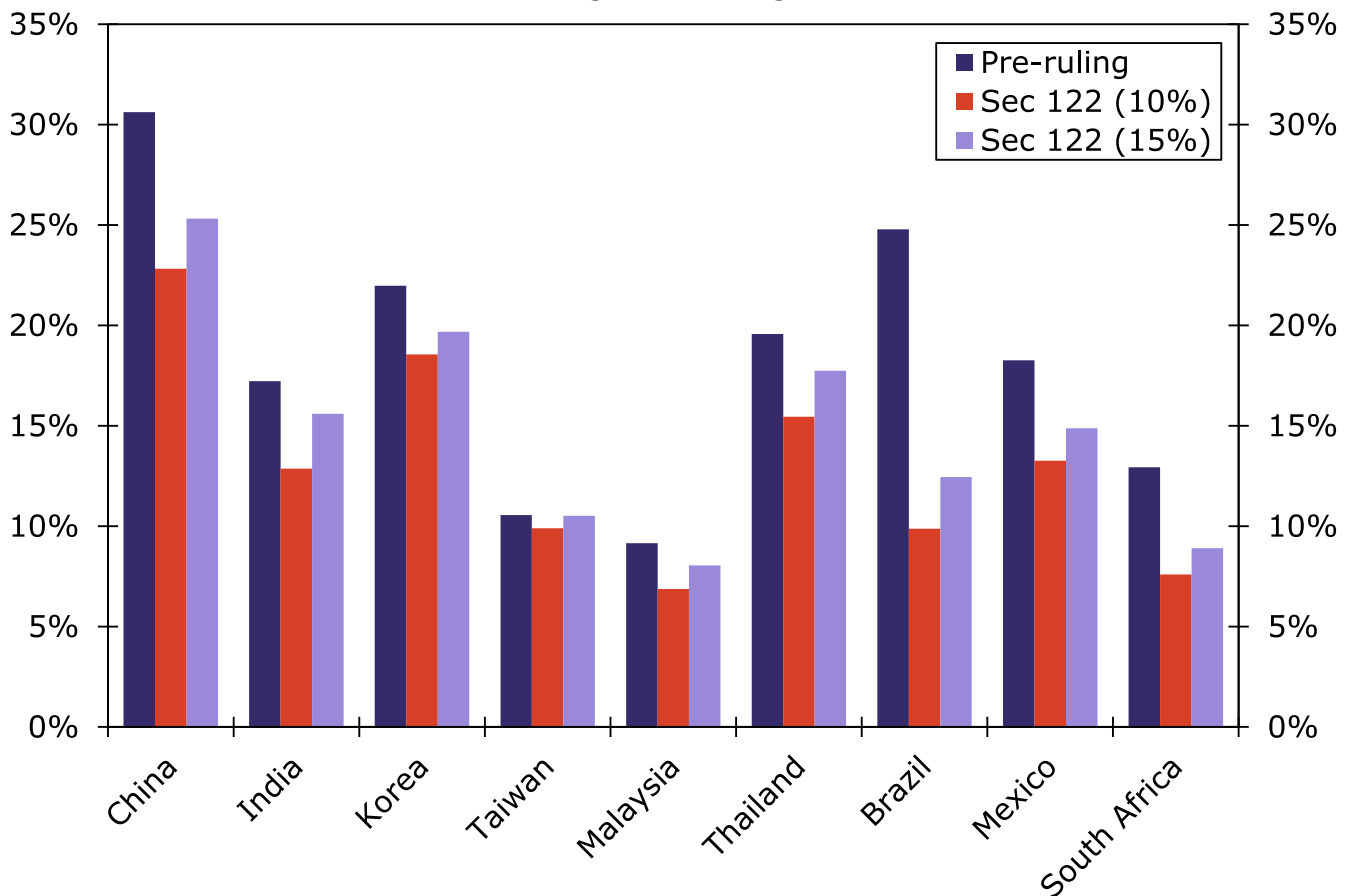


Source: U.S. Department of Commerce and Wells Fargo Economics

Figure 3

Emerging Economies Statutory Tariff Rates

Weighted Average



Source: U.S. Department of Commerce and Wells Fargo Economics

- The Supreme Court decision creates a **unique and unresolved legal situation** for the 19 countries that finalized trade deals in recent months. All bilateral agreements since 2025 such as those undertaken by the EU (July), UK (May), Japan (September), South Korea (November), Indonesia (July), Taiwan, India and others, were implemented via executive orders with tariff rates set using IEEPA. The Court’s 6-3 ruling made clear that **IEEPA does not authorize tariffs**, voiding the sole enforcement mechanism underpinning these agreements. The deals themselves were executive agreements, not Congress-ratified treaties, leaving them without a clear legal foundation.
- Section 122 authority expires on July 24, 2026, unless extended by Congress—an outcome we see as unlikely given bipartisan opposition and heading into the November Midterm elections. In the interim, the administration is likely to rely more heavily on **accelerated Section 301 investigations**, which offer the most robust path toward restoring country-specific tariff authority and face no statutory rate cap. These are likely to be complemented by ongoing and prospective **Section 232 investigations** across sectors such as semiconductors, pharmaceuticals, drones and other strategic industries. Section 338 tariffs under the Tariff Act of 1930, which authorizes duties of up to 50%, remain a theoretical option, but their non-use thus far suggests a higher legal and political threshold.
- A **strategic game is now unfolding that likely implies slower deal-making in 2026**. Section 122 appears to function as a bridge while the administration reconstructs a legally durable tariff regime via 301/232 authority. Countries that negotiated deals face a sharp asymmetry: concessions (investment pledges, market access, export-control alignment) were real and in many cases already delivered, while agreed tariff ceilings have been legally nullified. We see responses falling into three broad buckets:
 1. **Wait and see (EU, UK):** The EU has frozen ratification of its July agreement that had achieved a 15% "inclusive" deal rate rather the potential 15% Section 122 tariffs "adding" to 2-4% MFN rates. The European Parliament’s trade committee has postponed a vote pending "full clarity" from Washington. EU leverage remains significant with \$600bn in pledged US-directed investment and zero tariffs on US industrial goods. A breach of deal ceilings would allow the EU to withdraw concessions and reimpose retaliatory tariffs. The UK has adopted a similar posture, though with less confrontational rhetoric. [Figure 2](#) shows the UK’s gap between the threatened 15% tariffs and the 10% deal rate is the widest among peers.
 2. **Signal commitment and seek protection (Japan, Korea, Mexico, Canada):** Japan and Korea have also raised concerns that their agreements set 15% as an all-in ceiling, compared to the Section 122 surcharge. Japan’s Trade Minister Akazawa has explicitly flagged the discrepancy, yet Japan has reiterated its intention to proceed with its \$550bn investment commitment, including a recently announced \$36bn critical minerals package. Korea has likewise indicated it will honor its deal. Separately, we expect Mexico and Canada to continue to push for USMCA compliance as a means of reducing the impact of announced tariffs. Ultimately, this ups the ante for ongoing discussions of USMCA extension that need to be completed by July 1, 2026.
 3. **Slow-walk compliance and delay engagement (China, India, Brazil, South Africa):** With IEEPA leverage removed, US coercive power has weakened materially. These countries were subject to the highest IEEPA rates and are the primary beneficiaries under Section 122. We expect slow compliance under existing understandings and a deliberate delay in deeper deal-making as the administration works to re-establish its tariff authority. The lower tariff rates imply modest improvement in near-term sentiment even as the medium-term uncertainties about the economic relationship with the US linger.

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China's Ascension to Top Economy Delayed... Again

International Commentary

Economist(s)



[Brendan McKenna](#)

Summary

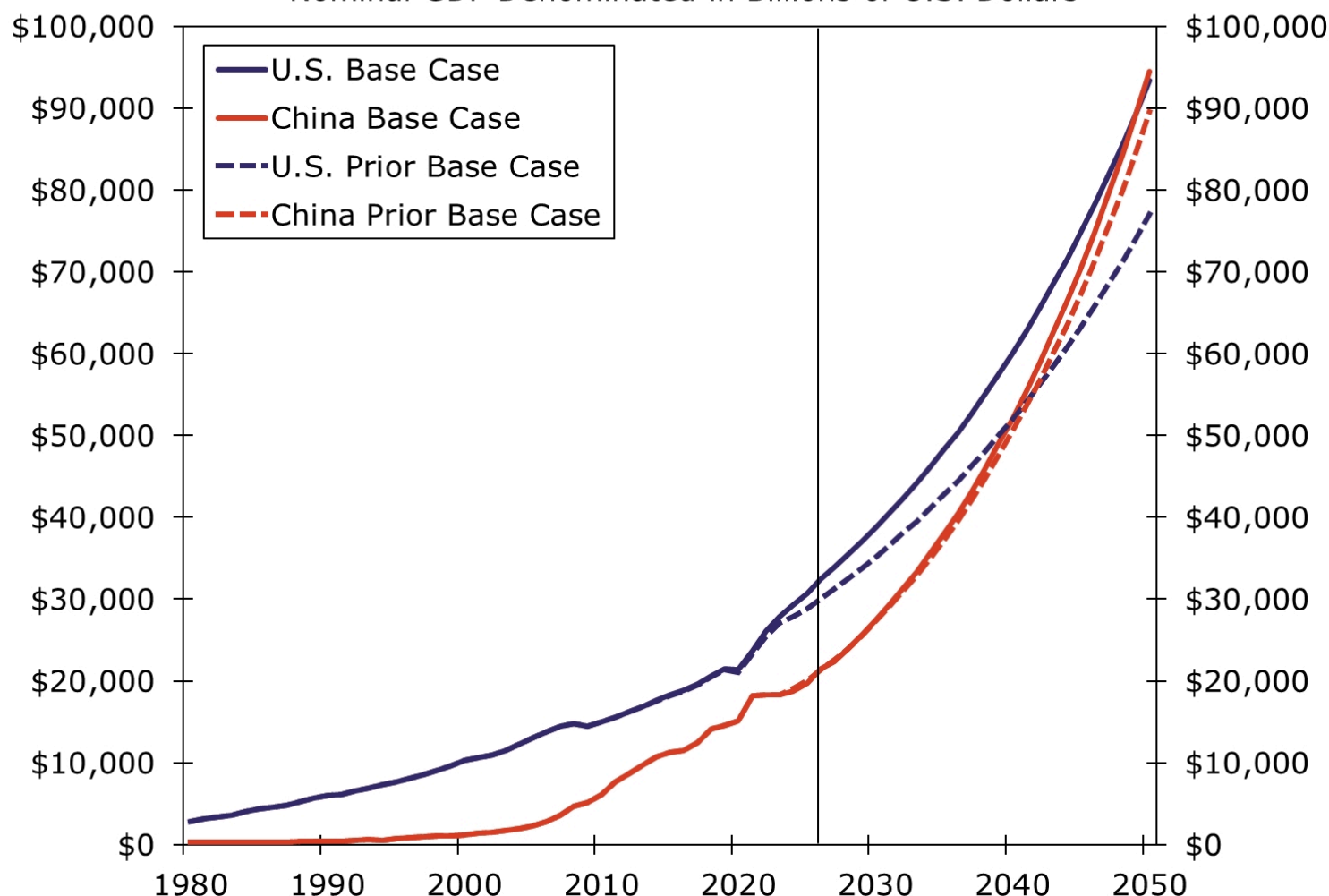
China's rise to the world's largest economy is again delayed. We now estimate China overtakes the U.S. to become the largest economy in the world in 2049, pushed out from a prior estimate of early 2040s. Despite last year's resilience, the delay is a product of deteriorating underlying fundamentals that determine potential growth. China's population is smaller and older, deflation pressures are persistent, and rising private and public sector leverage re-introduces "hard landing" risks in China.

At the same time, fundamentals in the U.S. are on an improving trajectory and diverging from underlying trends in China. Just as worsening fundamentals will keep China stuck in second place for a longer period of time, improvements across potential growth indicators should set a solid foundation for long-term U.S. economic growth. "Hard landing" risks in China are not as apparent in the U.S., which also keeps downside risks centered in China.

Embedded in our 2049 estimate is also the view that the Chinese renminbi will strengthen going forward. We continue to believe Chinese authorities have fundamentally shifted the way FX policy is considered and set with a preference for financial stability as opposed to currency weakness. FX policy can change as domestic and external conditions change, and while our renminbi assumption is more constructive relative to FX forwards, should the renminbi trend in line with forward pricing, China's ascension to the top of the economic pedestal could come earlier than we expect, despite imbalances and structural impediments to sustainably high growth rates.

United States vs. China GDP

Nominal GDP Denominated in Billions of U.S. Dollars



Source: IMF and Wells Fargo Economics

Demographics, deflation and debt are China's most pressing challenges. Each of which have contributed to slower growth over the years, and each of which have deteriorated recently. So much so that demographics, deflation and debt are likely to apply even more downward pressure on China's growth than we previously anticipated. On demographics, China's problems are known, although perhaps not fully appreciated is how **China's population is now shrinking more rapidly (Figure 1) and aging quicker (Figure 2)**, according to the United Nations (UN). The UN now expects China's population to more than halve over the coming decades, a significantly quicker decline than prior forecasts. A similar dynamic exists for age as the UN now estimates China's population is getting older quicker than expected.

All else equal, a smaller and older labor force equals slower potential growth, and while the U.S. is far from setting the standard for ideal demographics, U.S. labor force trends are on a better trajectory than those in China. Population size is set to grow in the U.S. and that population is set to age at a less rapid pace. At least from a demographics' perspective, long-term economic growth should be more resilient in the U.S. than China, and population trends are a key input into our view that China's timetable for overtaking the U.S. is pushed out.

Figure 1

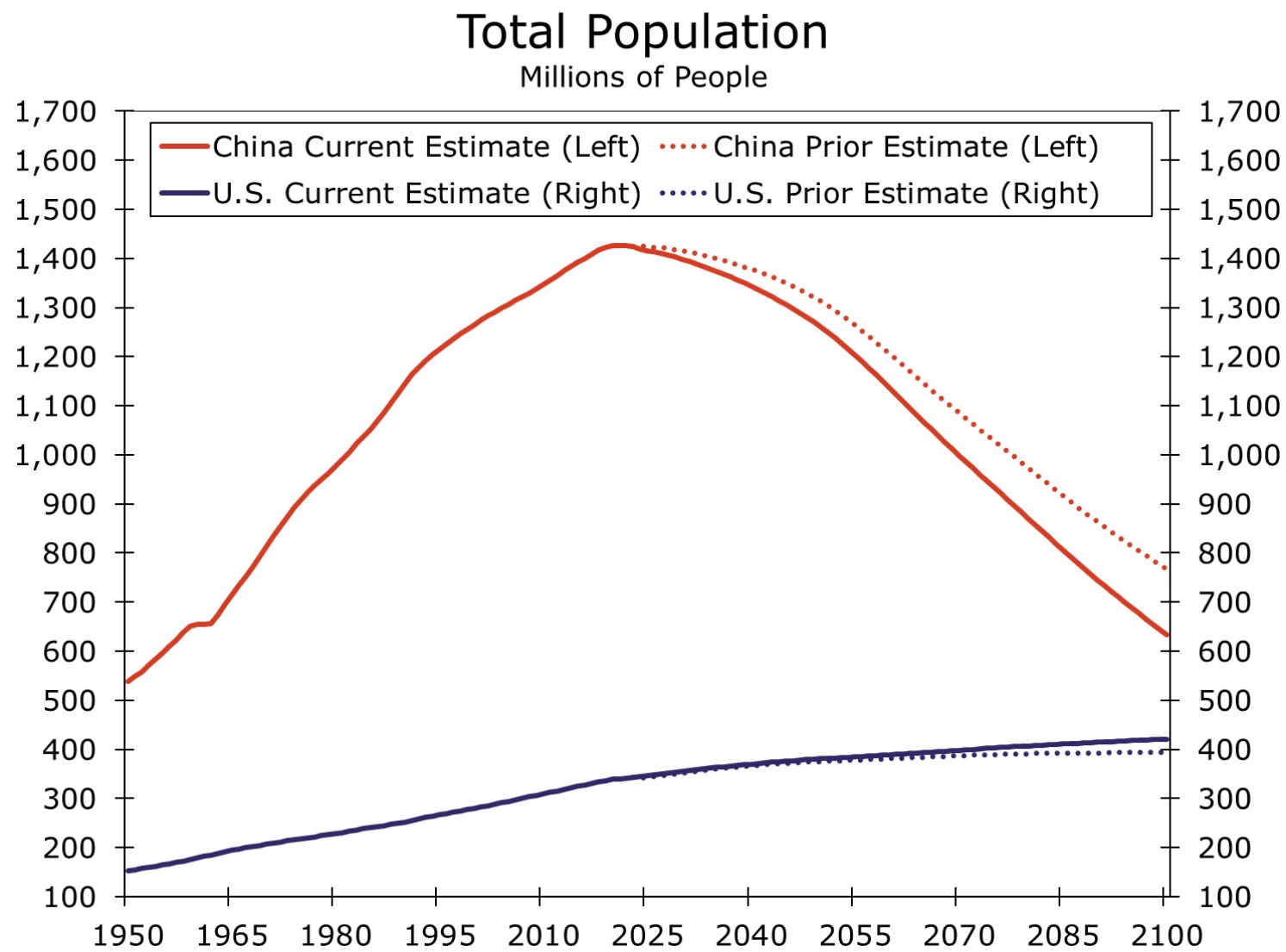
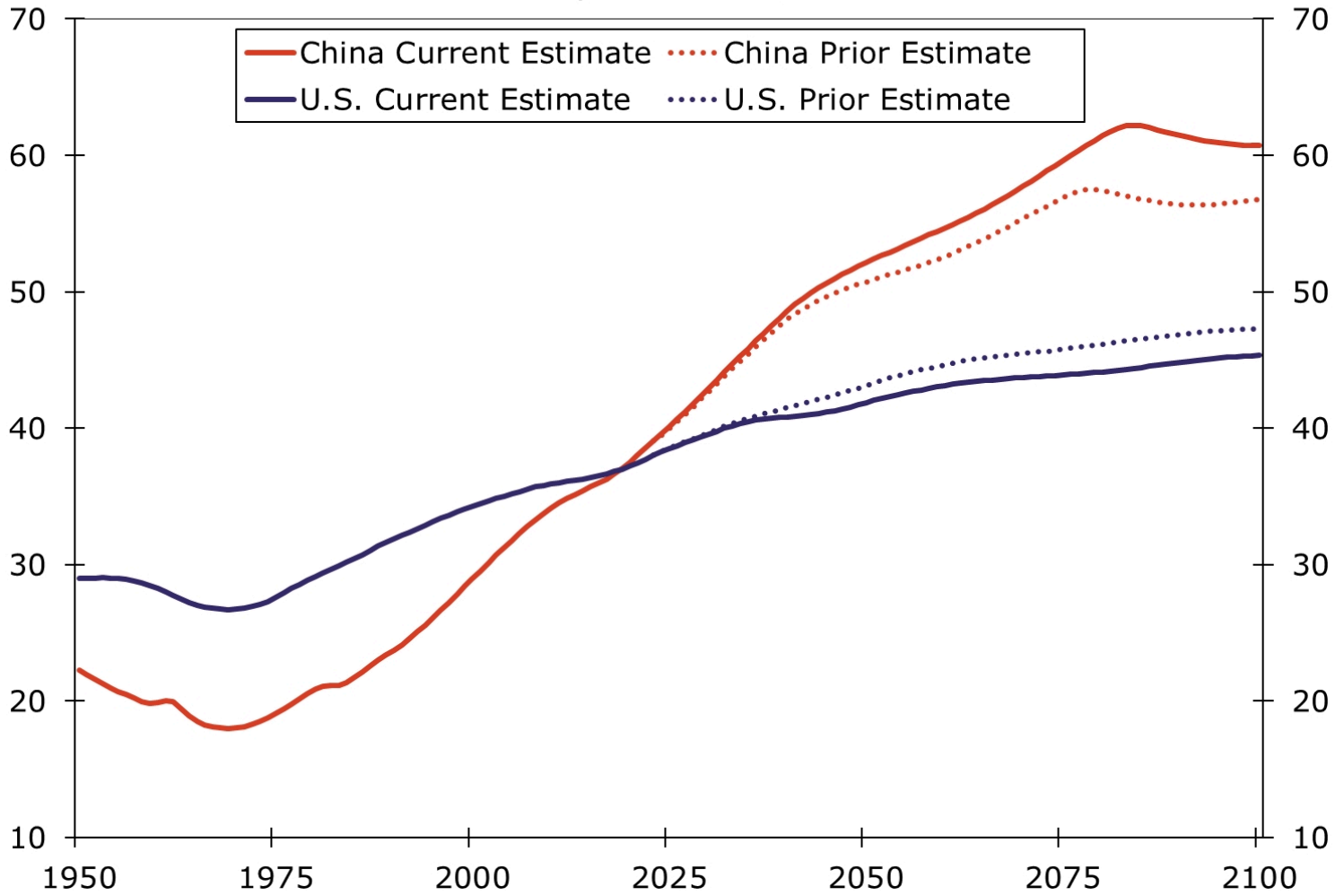


Figure 2

Age Before Wealth in China?

Median Age of Total Population



Source: United Nations and Wells Fargo Economics

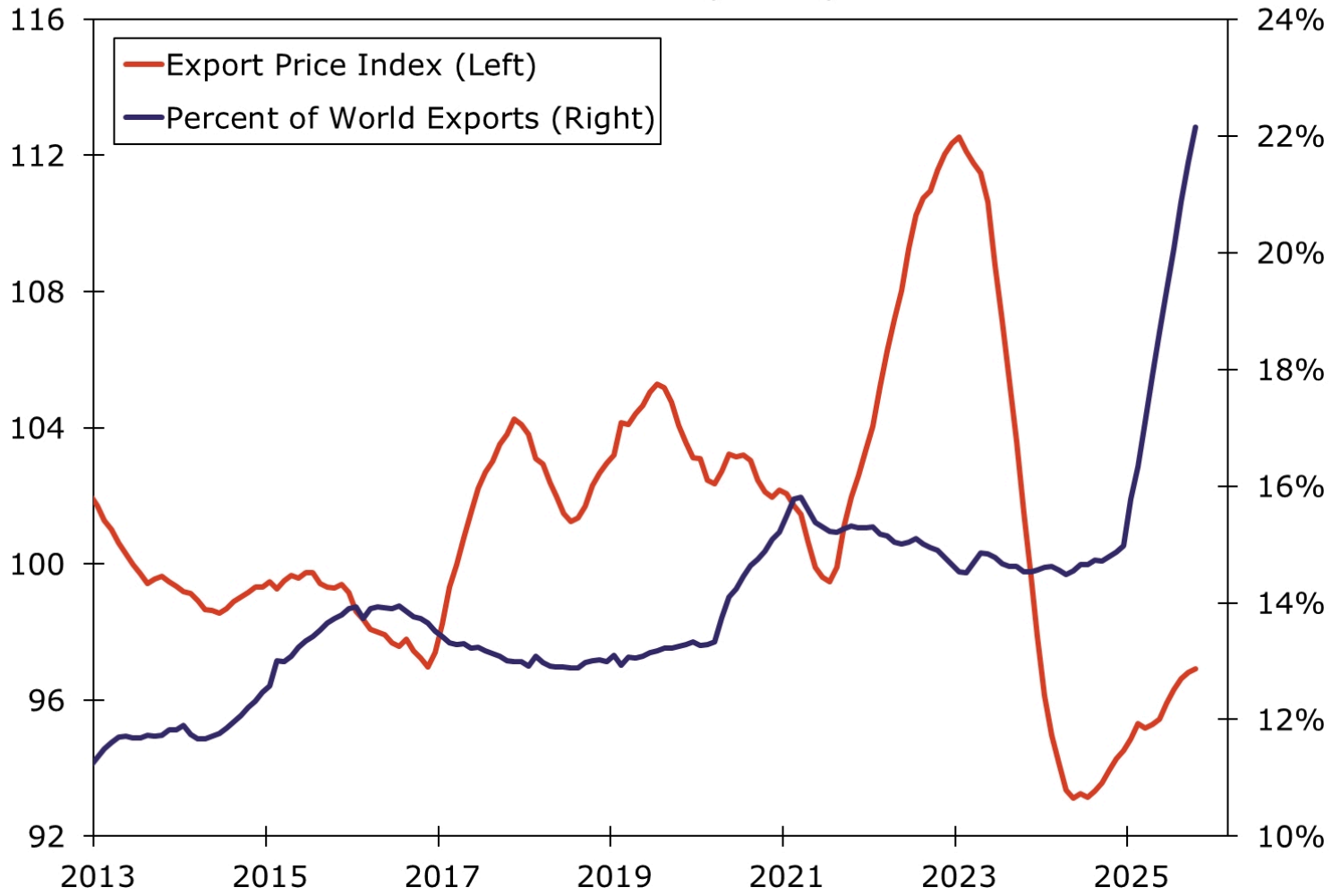
Diverging inflation trends between the U.S. and China also play a role in China lagging further behind the United States. We can point to multiple factors that generate deflation pressures in China (e.g., low consumer confidence, high household savings, sluggish domestic demand, real estate sector collapse), although just as influential are local manufacturers cutting prices to clear excess inventory ([Figure 3](#)). China's export price index is down ~15% from the peak in 2023, and while anti-involution policies have helped put a floor underneath prices, export prices remain suppressed.

Front-running tariffs catapulted China's share of the global export market higher, but **if China wants to retain current market share, prices may be kept low and deflationary pressures could linger**. U.S. inflation trends diverge from those in China ([Figure 4](#)). While above-target inflation in the U.S. can generate economic issues, for now, strong U.S. GDP growth combined with inflation pressures widens the gap between the U.S. and China.

Figure 3

China Export Prices vs. Share of Exports

12-Month Rolling Average

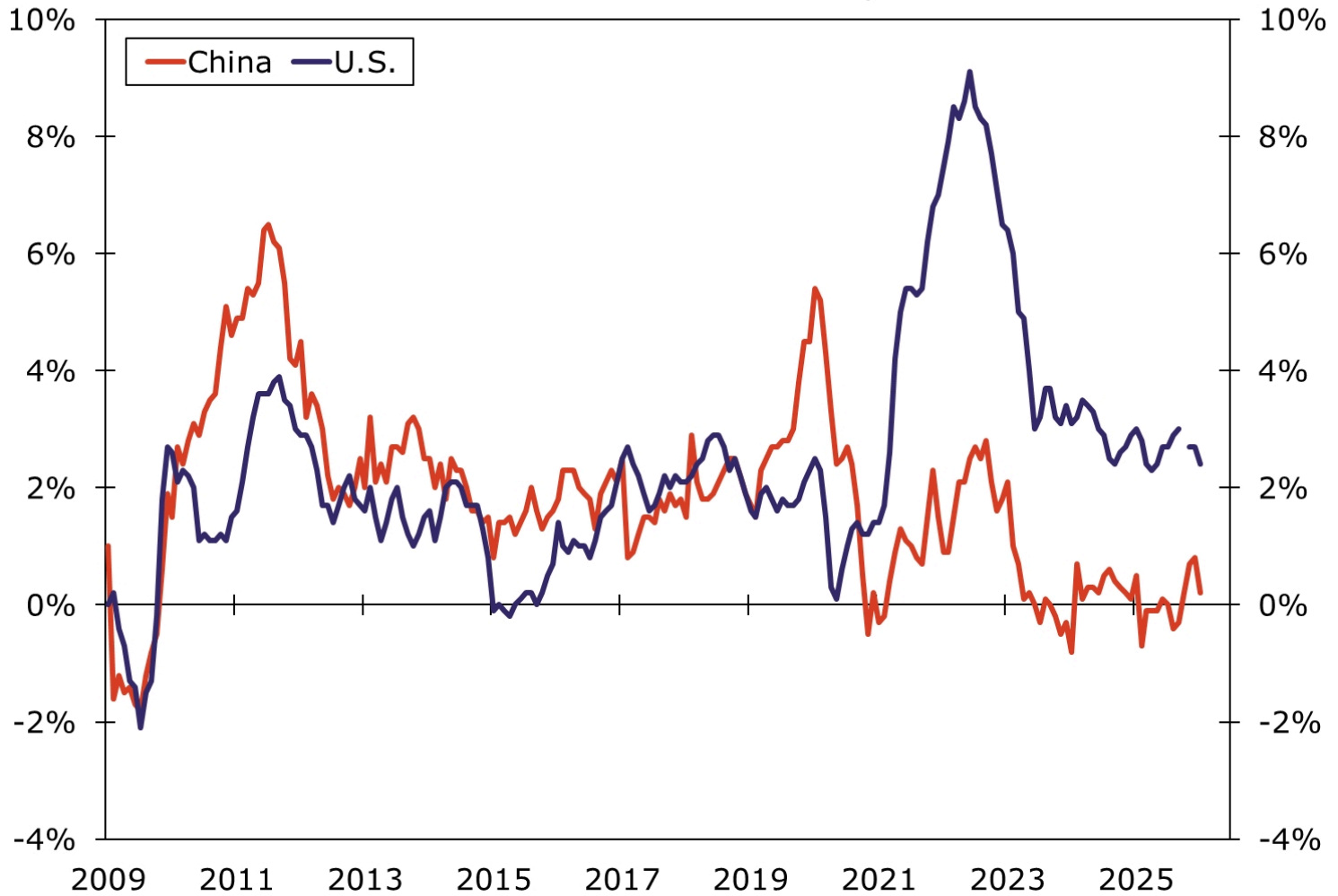


Source: Bloomberg Finance L.P. and Wells Fargo Economics

Figure 4

U.S. vs. China Headline Inflation

Year-over-Year Percent Change



Source: Bloomberg Finance L.P. and Wells Fargo Economics

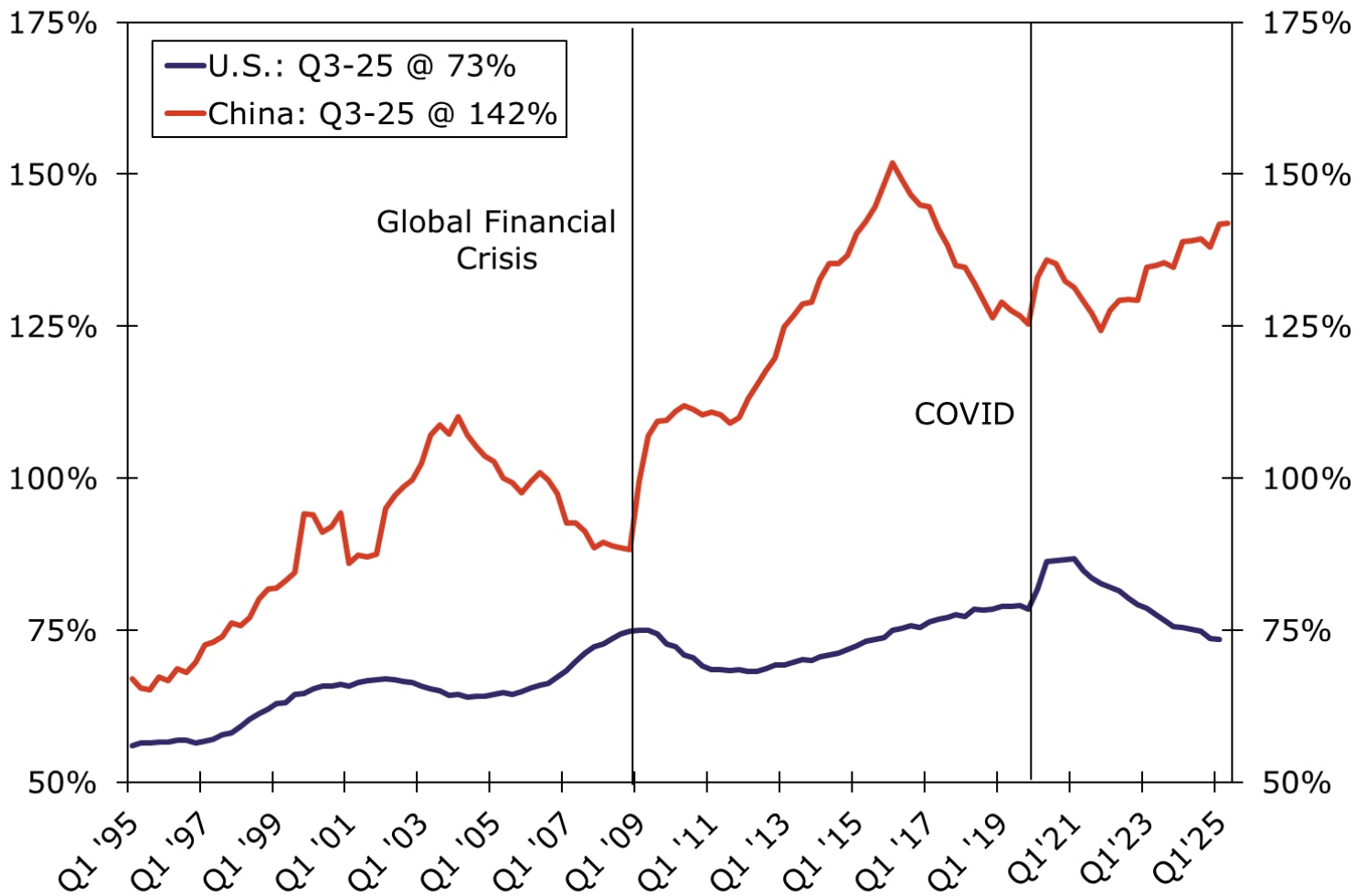
Historically, an overleveraged private sector, not excessive public sector debt, has preceded rapid economic slowdowns and acted as catalysts for financial crises (e.g., Japan 1980s, EM Asia 1990s, U.S. 2000s). For China, the most pressing leverage problems still exist in the private sector, and after multiple failed attempts at deleveraging, **China's private sector debt problems are intensifying**. For the past few years, China's private sector debt burden has been rising and is approaching all-time highs. Corporate debt is likely to rise further now that "three red lines" policies have been relaxed, a decision that can not only pressure long-term growth rates but also re-introduces China "hard landing" financial crisis scenarios.

The trajectory of China's private sector debt burden is diverging from trends in the United States ([Figure 5](#)), leaving the U.S. economy on a more stable foundation for long-term growth. Whether a crisis unfolds in China or not, diverging private debt trends keep **"hard landing" financial risks top of mind in China** not the U.S., leaving downside risks to long-term growth more present in China. Also, for all we hear about U.S. government debt, China's public sector debt burden is larger, at least when adjusting for local government financing vehicles ([Figure 6](#)). Should private sector leverage issues spill over into the public sector, China has more acute issues, a dynamic that also delays China from catching up to the U.S., in our view.

Figure 5

China vs. U.S. Non-Financial Sector Debt

Percent of GDP

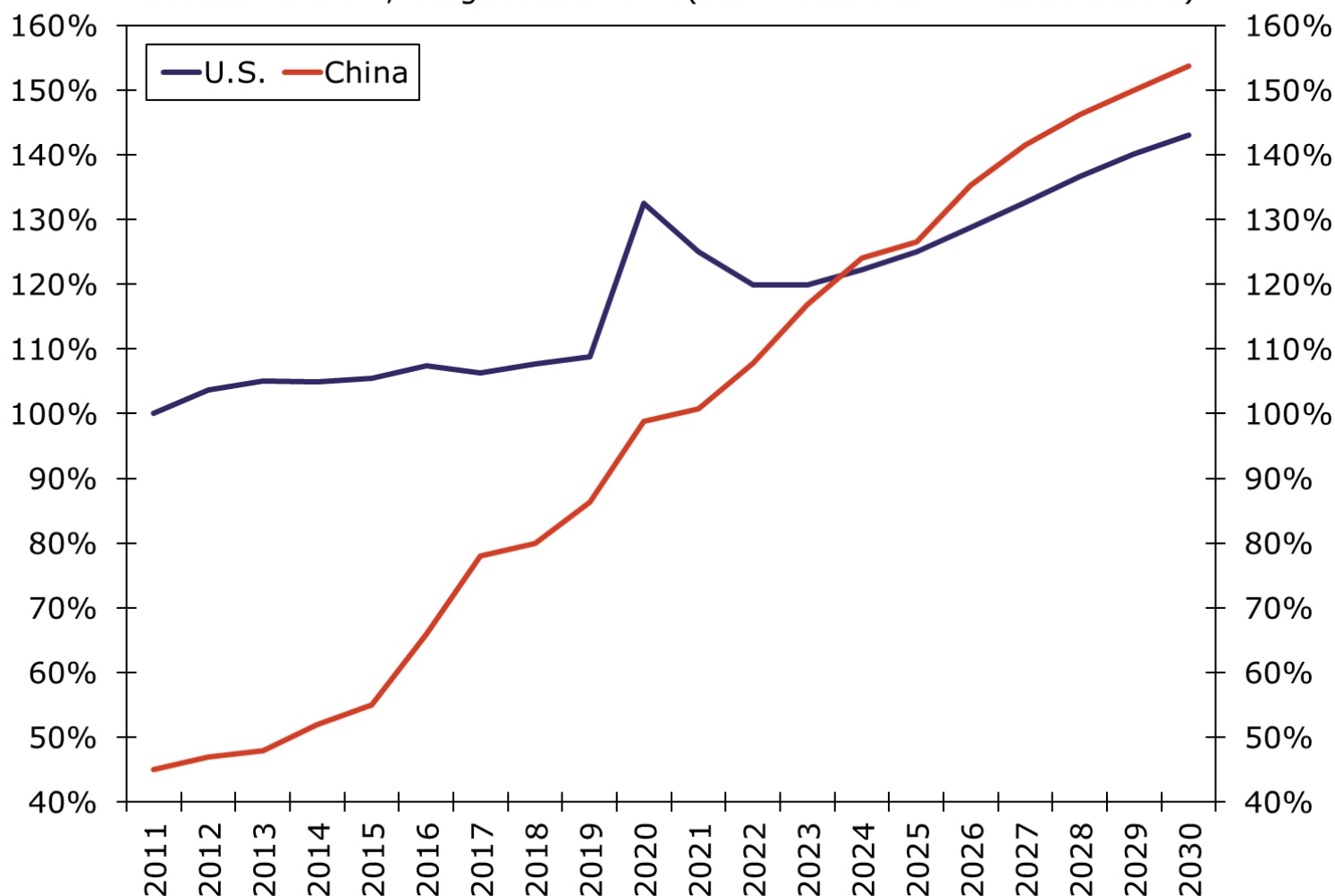


Source: IIF and Wells Fargo Economics

Figure 6

China¹ vs. U.S. Gross Government Debt

Percent of GDP ; ¹Augmented Debt (Fed. & Local Gov't Debt Vehicles)



Source: IIF and Wells Fargo Economics

The IMF suggests China may never overtake the United States... As far as comparing our growth and inflation outlooks, the IMF is more pessimistic on China's growth prospects, at least over the Fund's forecast horizon (i.e., the next five years). We—as well as the IMF—expect China's economy to be unable to sustain 5% growth rates going forward, but the IMF expects a more rapid economic deceleration. At the same time, the Fund is more optimistic that China will be able to reflate its economy to 2% in the coming years than we are. Although taken together, IMF nominal GDP forecasts are less constructive than how we see China's economy evolving. However, the IMF takes a less optimistic view on U.S. nominal GDP growth relative to ours. We both believe U.S. nominal GDP will hold steady going forward as opposed to trend deceleration in China, the IMF just holds a less optimistic definition of steady. If we extrapolate the IMF's relative views on China and the U.S. over a longer-term horizon, the IMF is inherently, based on our longer-term extrapolations, saying China will never overtake the U.S. as the world's largest economy.

...but the renminbi is the larger swing factor for China ascending to the world's largest economy. IMF forecasts, however, assume the Chinese renminbi holds steady around current levels for the foreseeable future. While the Chinese renminbi is not a particularly volatile currency, our base case 2049 estimate assumes China's currency gradually strengthens going forward as we believe China's FX policy is based on currency strength to promote financial stability (perhaps due to "hard landing" risks rising) as opposed to a historical preference for RMB weakness to support export competitiveness.

In our base case 2049 scenario, we assume RMB strengthens 1% per year going forward. We made this same assumption in our prior estimate for when China could overtake the U.S., so no change that distorts the analysis is coming from FX. We believe worsening underlying fundamentals, not RMB, are the driving force of China's delayed rise.

But while we assume RMB strength going forward, worth noting is that we still hold a less optimistic view on RMB relative to FX forward pricing. If we were to incorporate our baseline GDP and CPI forecasts with current RMB forward pricing, China could overtake the U.S. as early as 2038. Even if we were to use the IMF's GDP and inflation forecasts and adjust for FX forwards, China becomes the world's largest economy in 2039. In a scenario where the renminbi weakens, China moves further away from overtaking the United States.

Point being, just as much as underlying fundamentals play a role, so does China's currency. Typically, currency performance moves in line with economic fundamentals, but not necessarily when a managed currency regime similar to China's is in play. Granted, FX policy is not static and can change based on external or domestic factors, but if Chinese authorities are committed to financial stability and promoting the renminbi as a world's reserve currency at a time when the dollar is broadly depreciating, China's ascension could come a bit quicker even if underlying fundamentals are being eroded.

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"Conservative Wave" Still Flows With Major Latam Elections Looming

International Commentary

Economist(s)



[Brendan McKenna](#)

Summary

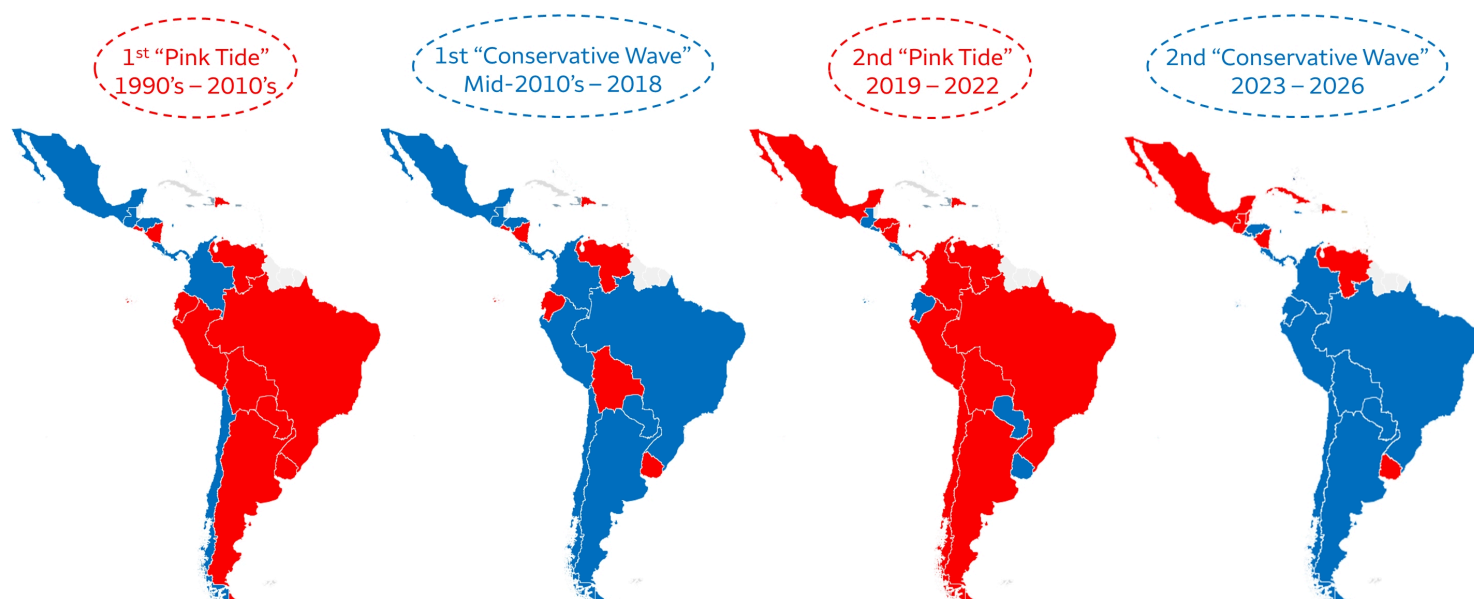
Latin America's 2nd "Conservative Wave" remains intact as general elections in late 2025 and early 2026 resulted in right-leaning policy platforms being voted into office. Elections over the last few months add to a years long regional trend of voters opting for more conservative policy agendas, especially political platforms associated with tougher rule of law components. The latest election cycle, in our view, reduces regional political risk in the aggregate and improves political risk profiles of countries that have opted for more business-friendly administrations. Improved political risk reduces political risk premium, and in turn, allows for more long-term financial stability in Latin America.

But still looming are perhaps the most important elections for the region: congressional and presidential votes in Brazil and Colombia. Polls are mixed, and as of now, presidential candidates representing the left and the right sides of the political spectrum seemingly have equal chances of winning. For us, as well as corporates and investors alike, we do not have the luxury of waiting until elections are over to start planning. So in that sense, we offer a high-level scenario analysis for how presidential elections in Brazil and Colombia could unfold, what the policy priorities of each administration could be and how financial markets may react to either outcome. In short, we expect the political right to win in Colombia and Brazil, and for the Conservative Wave to broaden out to a few of the more economically important regional countries. Colombia's experiment with the left is likely to end, and we believe Lula peaked too early in Brazil's election cycle.

With that said, conviction in each election call is not high. Financial markets could turn volatile in the lead up to each election as candidates jockey for votes via fiscal stimulus and other populist-style actions. But could this volatility be temporary should a shift to the right unfold? Or, could Colombia and Brazil go against the regional grain, double down on the left and have political risk premiums be embedded in local financial markets for longer? Time will tell, and we will provide updates on our election scenarios over the course of each election cycle, especially if our views materially change.

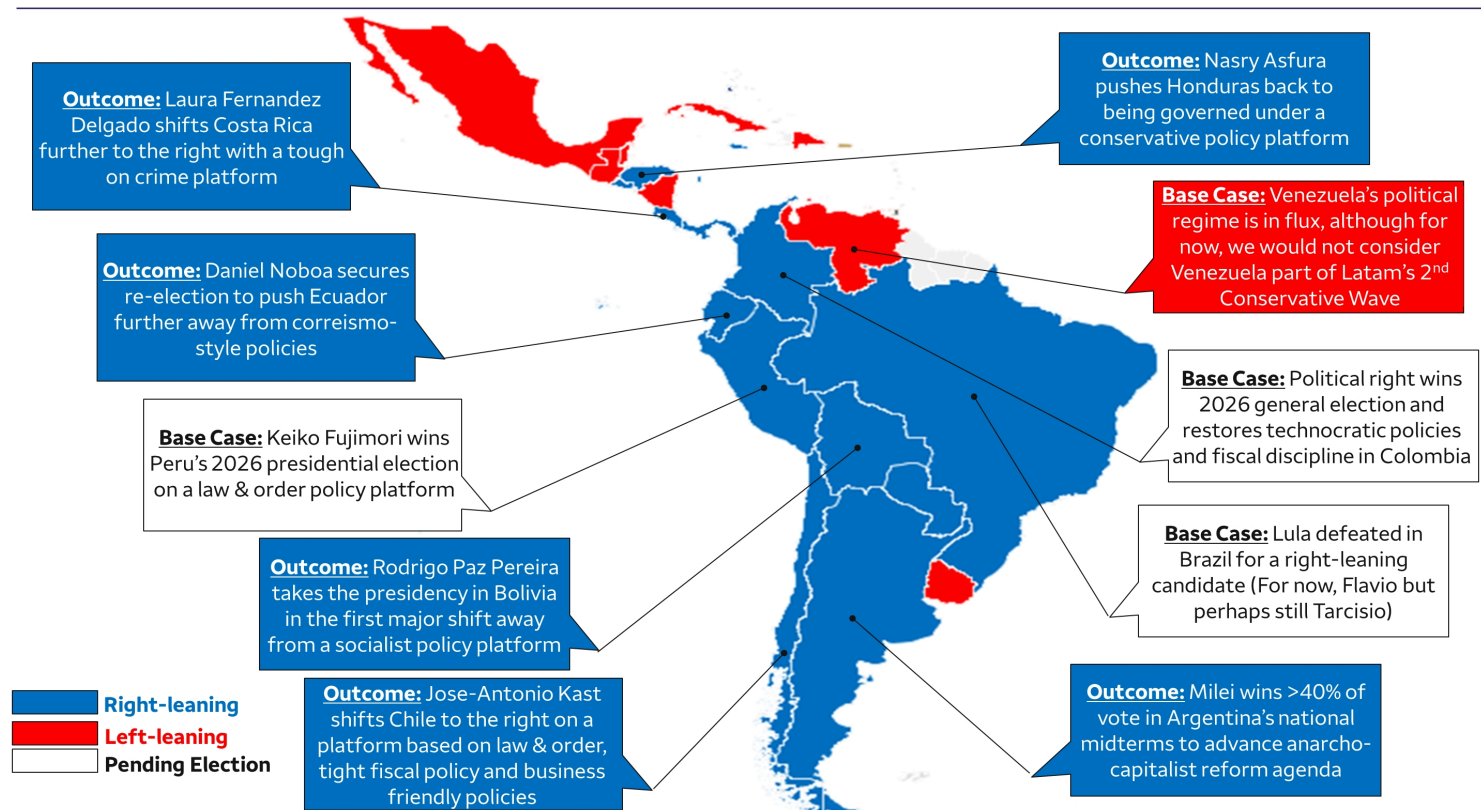
In our view, Latin America will unwind the post-pandemic 2nd "Pink Tide" for a 2nd "Conservative Wave"

Regional politics have shifted across the political spectrum over the last few decades. Following the pandemic, thematically, left-leaning policy platforms were elected in mass for the second time (2nd "Pink Tide"). However, elections over the last few years, and those still to come in 2026, are likely to yield a broad shift back to the right (2nd "Conservative Wave")



Source: Wells Fargo Economics

Costa Rica recently elected a right-leaning political platform to advance Latin America’s “Conservative Wave” into 2026. Three major elections are still on the horizon all of which we expect to deepen the conservative movement. Venezuela is still a “left-leaning” nation; however, U.S. intervention and influence could mean a structural political change may be imminent



Brazil's election is set to come into focus in the coming months and we still believe the political right will unseat Lula



Scenario: Lula deploys a populist policy platform centered around enhancing fiscal support to households and defending Brazil's judicial and electoral processes from foreign interference. Fiscal stimulus and defending Brazil's institutions resonates with voters across the wealth and income spectrum, and the recent rise in Lula's approval ratings is sustained through the election cycle. Lula also benefits from a unique position to defer any local market volatility or slowdown in local economic activity on U.S. tariffs/tariff threats. He uses plausible markets and economic deniability to redirect attention away from his administration to elsewhere to help capture a fourth presidential term.

Policy Platform: A fourth Lula term would likely be similar to his prior administrations. In the past, and during his current term, Lula administrations have been defined by loose fiscal policy and the state playing a larger role across Brazil's economy. We would expect similar dynamics in a fourth term, where Lula uses fiscal stimulus as means to generate robust consumer spending and resilient economic activity, while also promoting local development banks (BNDES) to lead low-interest rate lending. Select expenditures may be scaled back; however, Brazil's government debt-to-GDP ratio more rapidly climbs toward and above 100% by the end of Lula's fourth term. "Fiscal dominance" concerns remain top of mind in another Lula-led government, and the Brazilian Central Bank (BCB) turns more cautious toward interest rate reductions to defend against BRL depreciation and runaway inflation expectations.

FX & Monetary Policy: Given Brazil's already unsustainable debt trajectory and market participants' focus on local fiscal trends, BRL weakens sharply. Sporadic BCB FX intervention provides temporary support to BRL but does little to disrupt the overall BRL depreciation trend as political and fiscal risk premium rises. BCB policymakers, already taking a cautious approach to easing, ends the cycle as fears of renewed inflation gather momentum.

Economic Outlook: 2026 GDP growth of ~1.5%, although the longer-term outlook for Brazil's economy is more uncertain. Rather than shifting toward a more business-friendly backdrop, a renewed rise in local political risk delays capex spending and capital flows to Brazil. FX depreciation disrupts consumer spending, although loose fiscal policy supports household spending. Brazil avoids recession, but experiences anemic growth of 1%-1.5% in 2027.

Base Case: Elevated inflation and local markets volatility prompts voters to opt for a change in the direction of policy. Candidates focused on fiscal responsibility and placing government debt on a more sustainable trajectory gather momentum, especially when fiscal discipline is framed in the context of how spending restraints can result in softer inflation, stable financial markets and lower interest rates. While official candidates are technically still to be determined, we take the view that the overall conservative policy platform rather than the specific candidate will be the driving force of voter intentions. Recent trade and broader tensions with the U.S. add a layer of complexity for the political right to navigate.

Policy Platform: To varying degrees, but candidates that may lead the right (Flavio Bolsonaro or Tarcisio) represent fiscal discipline. While most of Brazil's budget expenditures are rigid and difficult to adjust without constitutional amendments, attempts at social assistance-related expenditure cuts and public sector expenditure reductions can gather momentum. Tax reform and privatizing state-owned assets would likely be pursued, while commitment to Brazil's existing fiscal framework, or an improved version, is reinforced. Winning the presidency is key; however, congressional support will be just as important. Implementing fiscal adjustment needs constitutional amendments with any amendment requiring 3/5th policymaker support in both houses of congress, a threshold that may be difficult to obtain and certainly less likely than the probability of our base case scenario coming to fruition.

FX & Monetary Policy: A shift toward a fiscally conservative government would likely improve investor sentiment toward the Brazilian real and BRL experiences a relief rally after the election. The extent of congressional support for right-leaning policies may prolong the BRL rally into 2027. BCB policymakers adopt a more confident posture that they can continue to lower policy rates after the election as fiscal risks subside and BRL strengthens.

Economic Outlook: We forecast Brazil's economy to experience growth of ~1.5% in 2026. An extended period of restrictive monetary policy places downward pressure on activity that pre-election rate cuts and looser fiscal policy cannot fully offset. A shift to a more business-friendly environment attracts new capital flows and capex spending that combined with more accommodative monetary policy drives a pickup in growth to ~2.5% in 2027.

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